

BLRC proposed Code for insolvency resolution of entities

T. K. Viswanathan committee on bankruptcy law reforms

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- ▶ Mandate: to propose a new bankruptcy code, which applies to insolvency of all physical and legal entities, and which replaces all existing law.
- ▶ Work process adopted by the committee:
 1. An interim report of short-term fixes for Companies Act is on the MOF website, led by Vidhi Centre for Legal Policy.
 2. Final report aims at fully thinking through aspects of economics, law and public administration to draft a new Code.

Objectives

- ▶ Low time to resolution
- ▶ Low loss given default
- ▶ Lower domination of secured credit
- ▶ Higher levels of debt financing

Design principles

- ▶ Lower information asymmetry.
- ▶ Emphasis on preserving time value.
- ▶ Clarity of legal framework.
- ▶ Management of the process by regulated professionals.
- ▶ No prescriptions on resolutions.
- ▶ Clarity on the role of the Adjudicator.
- ▶ Clarity on the role of the Regulator.

Definitions

- ▶ Default: The instant when the payment due fails, either in part or in full.
- ▶ Insolvency: when a debtor fails on obligations of payment.
- ▶ Insolvency Resolution: process of determining whether the insolvency is due to financial stress or due to core business failure.
This is also called the process of assessing viability.
- ▶ Bankruptcy: when insolvency resolution points to economic failure.
- ▶ Firm: any legal entity registered in India.

Summary of the flow of proposed design

1. Either the debtor or a creditor applies to the adjudicator to trigger insolvency.
2. The court verifies the case using e-filings from registered information utilities.
3. Once the case is registered, a clock of 180 days starts ticking on the *Insolvency Resolution Process* or IRP.

This is a 'calm period' in which the firm runs without needing to make payments to creditors.

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4. A Committee of Creditors is formed, which negotiates a solution by majority vote.
5. There is access to comprehensive information.
6. The resolution professional either
 - 6.1 Presents a signed agreement to the court within 180 days, or
 - 6.2 Else, the firm is put into liquidation, under the oversight of the Liquidator.

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7. Fast track IRP: shorter clocks for smaller and less complex firms.

Flow of the presentation

- ▶ Work through the steps of the process of IRP.
- ▶ With reference to the Boxes with drafting instructions in the draft Volume 1.

Scope of the Code

To whom does the Code apply

Box 3.1

- ▶ All persons and legal entities registered in India, other than those with a dominantly financial function. These are covered under the proposed Indian Financial Code.
- ▶ This implies that all laws and provisions in existing laws related to insolvent or bankruptcy entities must be repealed or replaced by the provisions in this Code.

The Code on the Insolvency Resolution Process

Who can trigger the IRP?

Box 3.2

- ▶ Either the debtor or the creditor can apply to start the IRP.
- ▶ The Code differentiates between two sets of creditors:
 - ▶ Financial creditors: who only have a financial transaction with the debtor.
 - ▶ Operational creditors: whose liability arises because of goods and services delivered.

Creditors whose financial liability is more than 50 percent of their total liability are also considered financial creditors.

- ▶ Each needs to submit documentation requirements that must be submitted to the adjudicator by each party to trigger the IRP.

How can the IRP case be registered?

Box 3.3

- ▶ The adjudicating authority will register the IRP
 1. If the debtor shows good intention by submitting documentation to reduce information asymmetry.
 2. If the creditor can demonstrate default has taken place.
- ▶ If there are gaps in the documentation or these are missing in the information utilities, adjudicator will reject the application.
- ▶ The adjudicator may request the Regulator to confirm the credentials of the proposed Resolution Professional (RP).

Maximum period allowed for the IRP

Box 3.4

- ▶ The default maximum period allowed for any IRP is set in the Code to 180 days.
- ▶ The Code allows Fast-track IRPs where the maximum period can be less than but not greater than the default maximum.
- ▶ The IRP is registered with a unique Case ID and a last date for submission of a solution.

Moratorium during the IRP

Box 3.5

- ▶ At case registration, the adjudicator issues an automatic moratorium on the firm.
- ▶ The moratorium will cover all debt recovery cases by existing financial creditors or operational creditors and new cases filed to establish fresh claims after the start of the IRP.

Existing law suits may be consolidated under this case.

- ▶ The moratorium will be come to an end under one of the following conditions:
 1. the RP submits a signed statement from the creditors with an agreement to keep the entity as a going concern to the adjudicator;
 2. The IRP reaches the last date registered in the IRP; or
 3. the adjudicator issues an order to end the moratorium upon application by the RP.

Public announcements about the IRP

Box 3.6

- ▶ The Adjudicator will issue a public announcement, including:
Name and address of the entity, who it is registered with, and
close date of the IRP.
- ▶ The Adjudicator will issue a public announcement calling for
submission of liabilities, with:
The location to submit to, the details of the information required,
the date of closure of the window, the penalties for submitting
false claims.

Appointing an interim RP

Box 3.7

- ▶ The Adjudicator appoints an RP to the case at the start called the Interim RP.
- ▶ Could be the proposed RP or a recommendation by the Regulator.
- ▶ Responsibilities: take over the firm; collection of the claims submitted in the public announcement window; creation of the creditors committee.
- ▶ Powers: Access to the information utilities; get financing to keep the firm going; bring cases of fraud to the Adjudicator and recommend Liquidation.

Creditors Committee

Box 3.8

- ▶ Creditors committee will have all the financial creditors.
Reasoning: admit all creditors who are willing to restructure liabilities.
- ▶ Debtor is invited to all meetings, but has no vote on business decisions.
- ▶ All matters of business during the IRP will be decided by majority vote in the Creditors Committee.
- ▶ The weights of the votes will be as a fraction of the weight of the creditor in the total weight of all financial creditors.
- ▶ If a financial creditor chooses not to be in the committee, the weights are reallocated without this creditors liability.

Appointment and role of the RP

Box 3.9

► Responsibilities:

1. To take control over all the assets entitled to the enterprise;
2. To manage the enterprise so that it remains a going concern during the IRP;
3. To call meetings of the creditor committee on how to resolve questions of business.
4. To verify accounts and liabilities as is required;
5. To raise finances to carry on operations;
6. To create an information memorandum on which bids are invited for a solution;
7. To provide the information memorandum through a transparent and visible channel to the full market;
8. To filter proposals for payment of the liabilities of the operational creditors within a reasonable period as specified by the Regulator;
9. To ensure that all actions are taken in a time-bound and transparent manner.

Appointment and role of the RP

Box 3.9

► Power to:

1. Manage the entity as a going concern;
2. Remove/Replace any director;
3. Issue notices against fraud and start recovery;
4. Issue public announcements about the availability of the information memorandum and a mechanism through which proposals to keep the enterprise as a going concern can be submitted for evaluation by the creditors committee; and
5. Call any meeting of the members or creditors of the company.

The RP fee

Box 3.10

- ▶ The RP can charge a market rate, which not set in the Code or provided in Regulations.
- ▶ The Regulator will require that any registered insolvency professional will offer her services without charge for a certain minimum number of cases a year.

The same requirement will hold for all registered professionals. The manner in which the Regulator will select the professional for the case will be specified.

Solutions for an IRP

Box 3.11

- ▶ The RP must provide as comprehensive an information memorandum as possible.
- ▶ The RP must provide a transparent channel for submission of all bids.
- ▶ For all the proposals received, the RP must filter for two conditions:
 1. Proposals must include timely payment to verified liabilities of operational creditors and others not represented on the creditors committee, within time frames that are specified by the Regulator.
 2. Proposals are consistent with relevant laws that govern corporate actions of the given enterprise.
- ▶ RP must ensure that the presentation and discussions about proposed solutions in the creditors committee are done before the last date in the IRP case.
- ▶ The RP must present a binding contract signed by the majority of the creditors committee to the adjudicator before or by the last date in the IRP case.

Closing the IRP

Box 3.12

- ▶ The IRP will close either when:
 1. the adjudicator receives a submission from the RP with signed agreement from a majority from the creditors committee; or
 2. The date has reached the closing date in the IRP case file.
- ▶ This decides the *outcome* of the IRP: resolution or liquidation.

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 2. The date has reached the closing date in the IRP case file.
- ▶ This decides the *outcome* of the IRP: resolution or liquidation.
- ▶ The adjudicator will pass either one of two closing orders.
 1. An order closing the case in the first outcome above (resolution).
 2. An order closing the case and an order of liquidation of the enterprise in the second outcome above (liquidation).
- ▶ The adjudicator will simultaneously pass orders to:
 1. Lift the moratorium on debt recovery actions of the creditors;
 2. Release the RP from the case if required; and
 3. Release the records of the IRP to the Regulator.

Fast-track IRP

Box 3.13

- ▶ Fast-track IRP has a shorter time period to arrive at an outcome.
- ▶ Process:
 1. A separate application must be submitted.
 2. An Insolvency Professional must have signed on the application.
 3. The adjudicator will forward the application for the Fast-track to the entity that did not trigger the IRP.
 4. If there is an objection, the adjudicator will allow the triggering side to defend the use of the Fast-track.
 5. If a response is received that is signed off by the Insolvency Professional, the case for the Fast track is accepted.
 6. These costs will be borne by the triggering entity, and not attributed to the costs of the IRP

Appeals during the IRP

- ▶ Appeals by the RP against the debtor:
 - ▶ For lack of cooperation.
The adjudicator can issue at most two orders to the debtor to cooperate.
Penalty: The adjudicator can then close the IRP, lift the moratorium against debt recovery and new cases, ban the debtor from triggering an IRP for a year, and issue an order to the debtor to pay all costs incurred during the IRP.
 - ▶ For an offence of fraud.
Penalty: The adjudicator can issue an order for the RP to replace the management, and to file a lawsuit for recovery.
- ▶ Appeals against the RP by the debtor/Creditors committee:
The adjudicator can ask the Regulator for a replacement RP, if the appeal cannot be decided within a week.
The closing date of the IRP will not be changed.
The cost of the case will be charged to the originator of the appeal.

Appeals after the IRP

- ▶ There are two types of appeals that can be visualised at the end of the IRP:

1. Appeals against the behaviour of the RP.

The offence is likely to be for the failure to adhere to process during the IRP, or for collusion with either the debtor or the creditors or the creditor committee.

Such appeals will be directed to the Regulator for hearing and redressal.

Penalty: The first will attract monetary penalties. The second will also attract removal of the license for a period of time as specified in regulations.

2. Appeals on fraud during the IRP, with or without the collusion of the RP.

Depending upon the magnitude of the fraud, the outcome of the IRP may be declared as voided by the adjudicator.

In the case of liquidation, the appeal must be resolved before the time at which the liquidation is considered irreversible.

Thank you.